TTU154: Why Trend Following Isn't Crash Insurance ft. Philippe Jordan

Podcast: Top Traders Unplugged

AI Executive Summary

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Core Thesis

The episode delves into the evolution of quantitative investment strategies, particularly focusing on trend following and the broader context of systematic investing. Philippe Jordan, President of CFM International, discusses how trend following, while valuable, is not a panacea for market crashes and how diversification through various strategies is crucial for long-term investment success. The conversation also highlights the importance of adapting to technological advancements and maintaining a culture that aligns with the firm's strategy.

Key Arguments & Data

- **Trend Following**: Philippe emphasizes that trend following, while robust, has a Sharpe ratio of around 0.5 over the long term, making it a valuable diversifier but not a crash hedge. He uses historical data to illustrate that trend-following strategies can have varying performance over different time periods, sometimes performing poorly and other times exceptionally well.
- **Scientific Framework**: CFM's approach is based on a scientific framework that leverages advanced computing power and data analysis. The firm hires experts from various scientific backgrounds to develop and test models, ensuring robustness and diversification.
- **AI and Technology**: The firm is exploring the use of AI to enhance research and trading, but stresses the importance of maintaining a rigorous testing process to ensure models are reliable before deployment.
- **Market Microstructure**: CFM closely monitors market microstructure changes, such as the rise of high-frequency trading and the impact on execution costs, to optimize trading strategies.
- **Risk Management**: The firm employs a collaborative approach to risk management, with regular meetings to discuss potential tail risks and make necessary adjustments to the portfolio.

Actionable Takeaways

- **Diversification**: Investors should consider diversifying their portfolios with systematic strategies like trend following, as it can provide valuable diversification benefits over the long term.
- **Adaptation to Technology**: Firms should embrace technological advancements to enhance their trading capabilities, but must ensure that these technologies align with their overall strategy and culture.
- **Risk Management**: Regularly assess and adjust risk management practices to account for potential tail risks, even if they are infrequent.
- **Collaborative Culture**: Maintain a collaborative culture that encourages open communication and iteration among team members to continuously improve trading strategies.
- **Understanding Client Needs**: When working with sophisticated investors, focus on providing true diversification and ensuring alignment of expectations regarding the capabilities and limitations of systematic strategies. ```

Diarized Transcript

SPEAKER_03: There's a period not so long ago, I'll call it 10 years ago, where people were running around saying trend is dead. And we found out that it is. And the reality of trend is that it is a 0.5 chart strategy. It does play a role in investor portfolios that is valuable. It does diversify. But it's not going to pay for your crash. That's not what it does.

SPEAKER_02: Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world.

SPEAKER_00: No noise, no shortcuts, just real conversations to help you think better and invest with confidence. Philippe, if money flowing into a strategy helps create the returns that attract the next wave of investors, how can we tell whether we found a lasting edge before those flows reverse? Well, that depends on what frequency you're talking about.

SPEAKER_03: If you're talking about something that's operating at two to three or four days or a month in frequency, that would have a pretty high impact. If you're talking about something that's operating over four months to six months in frequency and does have turnover as opposed to none, I would think that doesn't have much impact. If you have no turnover at all, I think that would have a lot of impact.

SPEAKER_00: Yeah, absolutely. Well, today Alan and I are joined by Philippe Jordan, president of CFM International. And for those who may be newer to the show, CFM is one of the leading quantitative investment firms in Europe and in the world, with about 36 billion in assets under management. Philippe, before we get into how CFM invests, I'd like to understand how you came to see the market this way. You joined CFM in 2005.

SPEAKER_03: What brought you there and which experiences early in your career had most shaped you to decide that CFM would be a good opportunity for you? Good morning, Niels. Thanks for having me. Hi, Alan. I'm delighted to meet you and have this conversation. Well, I have to dig back deep into my memory for this. I joined in 2005, but I started doing business with CFM in 1991. I was one of CFM's brokers and I became a friend, a fast friend of Jean-Pierre Aguilard, the founder, who was a terrific guy who unfortunately left us in a tragic accident over a decade ago, now doing something that he loved, which is flying airplanes that don't have engines, otherwise known as gliders. He had a real... quality to him in terms of charisma and entrepreneurship. And his vision, which I came to share ultimately, was, look, there has to be a better way to trade and invest in markets than reading newspapers and developing narratives. And that should consist in using data. And back in those days, data was very simple form of data was price-based data. uh, and computers to analyze that data, extract the signal and then execute it, um, faithful because we did, we did have electronic systems. So I execute all these signals manually in the markets on behalf of CFN. Um, that approach had merit, but it also had a lot of drawbacks. Um, trend following is an interesting strategy. It has a very robust sharp, but it doesn't have a sharp of one. It has a sharp over the long term of probably 0.5, which over the long term was very good. That's actually better than the stock market over the long term. Not the stock market in the last 10 years or 20, but the long, long term. And then Jean-Pierre had this sort of, you know, increased vision, which is, well, yeah, I need. something else to sit beside this trend following strategy. And I need to work with scientists that are going to allow me to gain insight to things like statistical arbitrage, volatility arbitrage, any number of other techniques that are essentially extracting data using a scientific framework and then executing it systematically. systematically still in the 90s means with hands, telephones, faxes. It's still very manual. And I followed this evolution as a broker for five or six years and then as a fund-to-fund manager looking at CFM. And then at Credit Suisse, I was doing spin-outs, spinning out people like Allen Howard and CQS. And we were working on spinning out not spinning out, but seeding a number of strategies at CFM with Credit Suisse Capital. That didn't happen because being Credit Suisse was unstable. And so that mandate evaporated, unfortunately. And we had crossed what I call the threshold of velocity for that business. Because prior to 2000, that

business was executed by people like me, manually. Post-2000, this business went fully electronic. So people like me were out of the picture, and all of a sudden, this business is being implemented by execution outgrows. And so it becomes much more scalable. You're able to trade at many different frequencies that were not accessible when people like me were executing these signals for people like Jean-Pierre. And finally, Jean-Pierre ran two businesses. He had a hedge fund and he had a company that designed systems on behalf of banks, middle office systems, option systems. And there was some compatibility between the two businesses, right? There was some interesting synergies because there were some engineers over here that knew how to build systems and a hedge fund over here, but there was also a duality of purpose. And I didn't really like that. And he called me one day and he said, well, I'm selling the engineering business and I'm going to focus entirely on the hedgehog business. And that for me, in combination with all the other things, made CFM, in my view, a very compelling firm for the future. And I want to join that and help build it. Yeah. Just out of curiosity, obviously,

SPEAKER_00: I mean, you and I and Alan for that matter, we're all there in the 80s and the 90s before things got systematic, electronic and so on and so forth. Was there something in particular you remember that you kind of had to unlearn when you started working with the scientists back then? About how markets work or something that we had all come to believe, but maybe we realized maybe it's not so. I would say that there was...

SPEAKER_03: There was a need for a point of convergence. And I'll explain that. If you're viewing the world through the prism of statistics and Gaussian distributions and fat tails, et cetera, what happens, happens to a certain extent. And you have to live with it. The best path to deal with the negative outcomes is to further diversify your book as much as you can. Which is a very rational approach and it makes sense however from time to time history does actually happen and the outcomes can be absolutely extreme and You need to do things that are not statistically driven and are not systematic and I had to evolve my view from well you need to develop an intuition about what your risk is, do something about it all the time to know most of the time you don't. If you have a properly diversified book in terms of strategies, per correlations, tail, structure, and something that's

fairly robust. And then they had to come a bit to me, which is, well, sometimes really bad things do happen that have high impact that can kill you. Uh, and when you're in this particular business, uh, and that can be a counterparty failure that can be, you know, um, airplanes are crashing to buildings in New York city and suspend trading for a week. Um, you know, there's, there's things in the case of airplanes, you know, crashing into buildings, you know, you can do things post not, not pre, but in the case of counterparty management, there's things that you can do pre that matter and, and, and we'll. will settle, you know, outcomes favorably. In the case of crowding also, you know, the first case of crowding in our business that I remember vividly is the Poinque Rancher of 07 in August of 07. That was quite clear to me that it was occurring, meaning if you go back to July of 07, you're in the first phases of the big deleveraging of mortgage books by Wall Street banks and You're in the faith in the first phase of not that's so seven or oh wait help me here It would be oh seven. Yes. It's up seven. Yeah, it is. Oh seven Yeah, so long ago. So in July we're going through this this mortgage deleveraging of bank balance sheets and It gets acute Right? And when that happens, people that run trading rooms tend to run around the trading room and want balance sheet back because at one stage they can no longer liquidate what they're liquidating because everybody's trying to liquidate, but they do need balance sheet. And if you run around the trading room and you go see the macro guy and you say, well, how much balance sheet do you have on? He might have, you know, half a billion dollars worth of directional risk with a lot of VAR, but not a lot of balance sheet. and you keep running through your departments, you're going to meet Mr. fixed income relative value that has a lot, and you're going to meet Mr. statistical arbitrage that has a lot. And you're going to ask them for balance sheet back, which will produce a negative effect on portfolios that are highly diversified, but are long and short equities. And at first cut, people that run businesses statistically will look at any drop as an opportunity to add risk until their own risk system saturate and you get a negative feedback loop that gets amplified with every day that goes through. And we made the decision collectively, but I was certainly a big proponent of it, of getting out of the way. Of course, that's only half the equation. You get out of the way, that's great, but then Do you get back in September fast enough to make up for how quickly positions are being rebuilt and P&L is being rebuilt? Which we did, but it wasn't perfect. But that's to illustrate the fact

that we now have a point of convergence where we today have a group of, I think it's 11 people that meet every two weeks to discuss potential unknown unknowns Right. Tail risks that can affect our business, our portfolio, our business, every part of our business operationally, portfolio-wise, regulatory-wise, all sorts of dimensions away from simply portfolio risk. Yeah. Now you mentioned that CFM began back in 1991. That means first of all, congratulations on 35 years anniversary. Thank you. It's a big achievement.

SPEAKER_00: Now today you run much broader strategies compared to the managed futures space that you started in. Which decisions most changed the firm's direction over that 35-year period? I'll take you back again to that statement I made about trend following. The firm started in 1991.

SPEAKER_03: Took off like a rocket in 91 92 and 93 and then 94. I don't know if you remember this, but there was something called The was it Tezo bonus. It was the Mexican fixed income crisis in 94 Yeah, which created a flight quality into US treasuries and then a big cycle of down rates after a big cycle of upgrades Correct. Well, that event was very painful for CFM's trend business. And Jean-Pierre had the insight and the entrepreneurship to say, well, I need to find other strategies that share this scientific framework and approach the data, but I need other strategies that are fundamentally de-correlated from this one. And I need to start building bricks away from trend in order to have something that's much more robust. I definitely bought into that. He hired Jean-Philippe or got into a consultancy agreement with Jean-Philippe Bouchot, who brought that scientific framework. Mark Potters, who did join CFEB, and then Laurel Elou, and then et cetera, et cetera. Alan, why don't you take us into the topics where you want to go?

SPEAKER_04: Yeah, well, maybe, I mean, you've touched on a little bit about the kind of scientific approach, which obviously is central to the CFM success and background. But maybe if you could just give us a sense on, you know, practically, you know, how when a team of people who have backgrounds in physics and, you know, applied mathematics and things like that, when they get together and look at markets and think about markets.

Presumably it's very different than how, say, economists or people who just started in the trading floor think about markets. So I'd be curious to get a sense on your take on that and what's different about that kind of hard sciences application to financial markets. Yes, you're right, Ollard, but...

SPEAKER_03: we've gotten to a point in the road where we actually hire people now that have domain expertise in economics and macroeconomic variables. Eventually you needed some, yeah. We do have people that have actual expertise and intuition that participate, but you're right. Well, this scientific framework, because I'm going to use the word again, framework, because... This is not actual science. We have to make things clear. It's the framework that's being used. There's elements that are very scientific when you're looking at the microstructure of prices, but away from that, most things are within a framework. Well, they think about robustness. They like thinking about everything in terms of, is it really robust? How can we test this assumption? 12 different ways and reach the conclusion that it is actually with us. And how should we look at a shark? After a long process, it says it's 1.5. Well, after doing this for many, many years, we know that even at the end of that process, that's probably 0.7, not 1.5. So they look at the world with this jaundiced scientific approach that says, prove it, prove it, prove it, prove it, and then prove it again. And when it's proven, I'm going to divide the result by two. And then let's move on to something else that we think has correlation characteristics, which are accretive to what we already have. So always approach the world with that framework. But at the same time, The world's not static. One of the reasons this stuff works is not just the scientific framework, it's the computing power, right? I go back to the beginning. In order to execute stuff, Philippe Jordan had to actually use telephones and faxes back in the 90s. We've moved a long way away from that. Back in the 90s or even in the 00s, we were working at price data and only price data. Well, we've moved a long, long way from that also, operating LLMs and all kinds of complex data-based systems. So it's the scientific framework over increasing amounts of computing power per dollar spent. That's the big leverage, right? So every time we think we've reached a permanent plateau in terms of computing power, well, we get surprised. This time it came from computer graphic cards for games. Who would have thought? But that's where it came from, right, initially. These new dimensions in computing power. What's the next one? I don't know, but

the trend for the last 35 years has steadily been up and has surprised everyone at every stage. There's many moments in the last 30 years where people thought, that Moore's law would flatten out. And not only not flattening out, there's periods of acceleration. So for businesses like us, it's the scientific framework leveraged by increasing compute power per dollar spent. Interesting. I mean, obviously the CFM alongside a number of other well-known names have been very successful in

SPEAKER_04: systematic and quant investing, you know, firms like Renaissance or, um, in our space, you know, maybe, um, you know, other well-known names or TE show or whatever, or QRT, you know, all of these firms. I mean, is it, when you think about CFM success and other firms like that, people always think in terms of the, the, the war for talent. And it's about kind of finding people who are smarter that will unearth new alpha. How much of it is that? Or how much of it is it, like as you mentioned, things like compute power, data infrastructure, obviously it's all of that. But I mean, can you put your finger on any one thing that you think that marks out the most successful systematic firms? Well, as you said, it's the whole package. But I think the most successful ones are the ones that adapt to the technological changes, the ones that know how to leverage new technology.

SPEAKER_03: and everybody leverages it slightly differently. People come to work at CFM are very self-selecting because we are called one of the more extreme forms of collaboration, transparency, one P&L. On the other end of the spectrum, and this is not a bad thing, it's just a very different way of doing things. You have a millennium that's operating pods. separate people that are operating within silos. The two different populations want two different things and go to two different furs and want different experiences. People that come to CFM want to be successful, they're ambitious, but they also want to collaborate. They want to be able to openly collaborate with colleagues and share and grow through iteration with other people. So, I think what makes a firm successful is to have a strategy which is in line with its culture and to stay that way. And that doesn't mean your culture stays static, it grows, but your strategy is in line with your culture. I think most firms get into trouble when they start desiring what other firms are very good at and say, I should get some of that. and I should get it fast. Well, you can't because you haven't spent 15

years hiring engineers that are thinking about level three data in order books and trading in microseconds and you don't have that sub-affair and you don't have that culture. That's something you can only acquire very slowly and cautiously over time if you're going to make that change.

SPEAKER_00: Yeah, no, I mean speaking of data and technology, before I get to my main question, I actually noticed something on your website that I had not come across before, but that's probably my technical lack of knowledge. You mentioned you have 12 petabytes worth of data. I have no idea what a petabyte is. It sounds like a lot. How should we think about that amount? I don't even... pretend to keep track with that anymore, because it was already a lot at three and now it's 12. I keep track of the costs of all that. Not what it means. What it means. Fair enough. So let me go in and kind of follow along what Alan was asking about. So your chief product officer, Long Lalu? He mentioned that with the help of AI, he believed that maybe you could generate significantly more. I think an article mentioned tend to 100 times more models. What has to change in your kind of standard of proof so that you don't simply get better at finding patterns that won't last when we start going down the rabbit hole of AI? AI for us at this stage

SPEAKER_03: is a piece of technology that leverages a researcher's time. So we can now build agents that can troll the internet for papers and quickly run a few tests on these papers and tell us if we want to have a human being look at them or not. That kind of work. So that was the first layer of work, leverages a basic researcher's time. There's going to be a point where I think we'll, we'll, we'll go to another level where we actually have agents that we're developing that are starting to trade. And we're doing that to some extent, and we're going to do more of it. I don't think that is peculiar to CFN. I think everybody is going to be doing that. I think everybody is going to be a manager of agents. So you, Niels are going, you're going to have agents that you're going to develop. And it's becoming increasingly easy to do so. You can type what you want. And Antropic or Google or any number of these firms will then troll the internet on your behalf with that agent. Now, you have to have intelligent ideas for those agents to be performing the tasks that are going to make you better at what you do, but... I think this is going to be like using the internet, right? And when people

talk to me about AI, what do you do with AI, et cetera, AI, AI, AI? I was like, well, do you use electricity, right? Do you use the internet? This technology is going to become totally ubiquitous for everybody, not just CFM. It will have an immense impact on many aspects of our society. And I think managing money is only one of them. Of course, we have a technological edifice over time that's very important, and we have something that is extraordinarily important when you have access to AI, is 35 years of data that we've collected of our own trades. So we can train systems over a data set that is completely curated. super clean and under our control and is our IP. So we can train these sets with a sandbox that protects the IP from the world at large. But that's very valuable when you can deploy these kind of agents. Is there a different level of proof? Meaning, what would a model have to demonstrate before it's allowed to trade real money? And in a sense,

SPEAKER_00: the difference between models that we used to develop with humans and researchers to these models where maybe we know a little bit less about what goes on inside. And also I'm curious about whether there is something you could talk about as an example as to where AI have already improved results after trading costs beyond just the fact that they can work more quickly in the research team.

SPEAKER_03: Well real-world examples, I won't give you because they're new and and they're they're special as far as we're things are But there's no doubt in my mind that there will be more Then I don't think there's much doubt in mind of research overall at CFM on that There's a trade-off between robustness and diversification Where I'm going with this is the more models you have that you faithfully believe have some degree of diversification, both in terms of the data that you extract and the intuition that you think this is exploiting, the less you can be or need to be demanding in terms of robustness. If you're operating a trend system that's looking at, you know, two or three frequencies over time. Well, you want a lot of robustness statistically if you're going to deploy that and that's going to be your core strategy. If you have hundreds, if not thousands of different alpha engines over half a dozen or a dozen different strategies, if you have an AI model that doesn't have any robustness because you're not looking at a hundred years worth of data, you might be looking at two. but you have

an intuition and you're getting good results and you're going to make a risk allocation to it that is within less than 1% of your overall risk, then you're playing diversification. You're playing the technology through diversification. In the notes we shared with your team before our conversation a few weeks back, they mentioned this ML lab that you have. And I was curious what it is it's trying to solve and what could change maybe from this work in terms of how you invest. Well, in our history, we've always had these kind of efforts where, you know, first of all, we publish, right? So we've always had these academic efforts because we believe that first they keep us crisp. regarding new technologies, new ideas, and they attract talent to the firm. So by doing this, we do a couple of things. We attract people to the firm that are familiar with a cutting edge technology and can inspire us to at least have a framework that knows about this. And so they run seminars internally that are very stimulating for our researchers. They're not looking specifically to create models that are creative. They're looking to inspire our researchers to do so. Then there's a second dimension, which is these are great recruiting tools because people that come to firms like CFM like to have an interesting intellectual stimulating environment in which to be. So when you have these labs or these efforts to be in contact with academia,

SPEAKER_04: and maintain links, they view that as a huge plus. So that's why we do this. We've done this right through the 35 years on many different subjects at different points in time. Taking a step back, I mean, you mentioned the long run returns and mentioned the S&P over the last decade, two decades. It's been phenomenal. I'm just curious, the average investor might say, I'm in equities, maybe I have some other assets, I have a long beta portfolio. Sure, you've got all of these bytes of data, but at the end of the day, you're generating similar returns to maybe not even beating the S&P. Obviously, it's done in a different way. But for investors who haven't embraced hedge fund investing or who haven't embraced systematic investing, I'm sure you speak to a lot of more sophisticated investors who already have, but for those who haven't, what is the argument, do you think? Obviously it's about diversification, but what else would you say? I'd say it three times, diversification, diversification, diversification. So that's what I'd say.

SPEAKER_03: Finally, I think we've crossed the point with investors, broadly speaking, and technological approaches to invest it. AI has become so ubiquitous in people's lives and people's imaginations that what we do is no longer exotic, right, in general. I think that within probably seven years, it's the contrary that's going to be thought of as being exotic. People that don't use extensive technology to manage portfolios. I think the world's moving very fast in that direction. I mean, for years and years and years, you're right, Alan, it was a very difficult conversation. Specifically, what a class of people that I always thought would naturally be inclined to invest in systematic investing, which are Menlo Park-based venture capitalists. So these are people that invest in technology, right? But their view of investing in technology is a bottoms up approach where you know the company and you know the founders and you've been through many rounds. And it's essentially a very intuitive, human-driven process. And when you talk to those people about systematic investing, which is a huge diversifier to what they do, they are still very reticent, and they view it as somewhat suspect. But away from Menlo Park, Um, the, the rest of the world has moved on, I think, and, and within, you know, the world of institutions and large family offices, et cetera, uh, they, they're, they've embraced systematic investing. Uh, and, and I think, I think AI is going to do the rest. Can I jump in here, Alan, just because I think it's an interesting point. I certainly remember also, uh, back in the early nineties that when we came out talking about

SPEAKER_00: CTAs and trend following. People thought of it as a black box and it was very scary and all of those things. And I completely agree with you, Philippe, that I think people have started to realize and kind of embrace the benefits that using rules, using systems bring to an investment process. However, your colleague, Jean-Philippe Bruchot, who has also been a guest on the show, takes it to, I think, the next level. Because now, and this is not new, but some people will not necessarily have heard the conversation, but he's arguing, of course, that it's the buying and the selling that happens that has a lasting effect on the markets. It's not necessarily what we used to think was driving market action. So...

SPEAKER_03: If an investment committee today takes this view seriously, what should they, in your opinion, do differently? Well, you should diversify away from trends. Trend is one strategy because what you're

describing, I mean, why do trends function, right? Transfunction because people follow price points, prices in markets every day, right? So moment it. It is one of our strategies, but it is not our only strategy. We have other strategies that are not threat-based. The S&P's magnificent success or the U.S. equity market's magnificent success is in large measure due to, yes, flows. It's not new. So flows do matter. Reversal flows do occur and flows do have impact.

SPEAKER_00: But to me, it's not really a revolutionary concept to think that flows actually impact prices. I agree. Although I think the world has been pretty slow at adopting some of the views from people like Mike Green about the impact of passive investing, for example, which probably poses some risk down the road if those flows... starts to reverse at some point. Absolutely, especially in Forex ETFs on top of it. Yeah, I know exactly. And the other thing I'm curious about when you go out talking to people and it's all about kind of placing something for them to think about. And I mean, to a large extent, people always worry about things that can go wrong. So you typically risk that would get their attention. I'm curious from your experience what, and we know a lot of people, as Alan indicated, a lot of people will just look at the equity market and say, yeah, it's done really well, so I'm just going to stick with that, or something else, doesn't really matter. I mean, people said the same about bonds only a few years ago. So looking at today's market environment, what do you think people, whether they're institutions, whether they're individuals,

SPEAKER_03: What do you think are some of the risks they are likely to underestimate in today's market environment by predominantly just looking at historical data? Everything that can go wrong will go wrong. It's a good rule to start with. What can go wrong today that is specific to today's circumstances? Well, you pick your pledge rule between geopolitics In Russia and the Ukraine or the Middle East or the election process in various countries But I think there's there's one risk or two Which have a long-term quality to them and The risk is not showing up in the short term or is not price property then a graphics in the West so It's going to be hard to change this trend of people having less and less and less children. We live in societies that have been built for and on behalf of a middle class that has children. We no longer do that. So we're going to have to have a different

social target over time. We're rapidly running into the retirement age of folks like me and maybe a little older than me. I'm the last of the baby boomers in 64. But we're hitting the wave. And that is going to, I think, change the social contract and all these convulsions that we're seeing between generations. and convulsions regarding what people perceive as being inequality. When you take a country like France right now, that's going through one of these social convulsions that the French are so good at. One of the great recriminations is inequality, while the genie factor in France peaked in 1970 and has steadily been going down since and has plateaued. And is it in France, is one of the countries with the lowest levels of inequality of the G7 is very good at redistributing wealth. Yet we have these anxieties and what are they due to and how will we solve for that? I think these are long-term risks, but long-term risks have a way of showing up somewhere short-term and being quite

SPEAKER_00: consequential. So that's something that is severely underpriced and will shape markets in a structural fashion for the next 10, 15 years. Yeah. Alan, I would like, and maybe you could follow up after this little intro, I would like to maybe talk a little bit about trend or something that's trend related. because what you also do wonderfully well at CFM is you publish a lot of papers. And another previous guest of ours, your colleague Philipp Sieger, he recently published a relatively short note about alternative markets. And this is a topic that we've been discussing many, many times on the podcast. I remember the narrative back in the mid 2010s when perhaps traditional trend followers were going through a quiet period. Along comes these alternative market focused trend following strategies, delivering very impressive returns. And the narrative was back then, well, alternative markets, they trend better, so that's kind of the future, and a lot of money was heading in that direction. Today, maybe we look back at the last five years and we say, well, maybe that didn't really hold up in terms of them trending better. But I'd love to hear your thoughts about, you know, alternative markets, also to you what is an alternative, when does it become too alternative, if you know what I mean, for you, and just kind of hear your thoughts on this debate. Well, we're all for finding markets that offer low correlation to the existing mix of things that we trade, if we think that that correlation is persistent and true.

SPEAKER_03: That's one. And then two, that they're operationally sold. Even if that correlation were true, if we have to take risks in markets that are operationally complicated, illiquid, and difficult to process, that's a very large ask. So we went through the exercise of just running through what people were calling alternative markets, and we found that viewing them through the prism I just described, the only true alternative markets were the Chinese markets. The Chinese contracts were truly diversifying and had correlation, de-correlation characteristics to our existing mix, that they were deeply liquid and were complicated because nothing's easy in China, but they were operationally sound.

SPEAKER_04: to access. The other ones, things like electricity, et cetera, did not meet the thresholds that merit investment. Absolutely. Alan, let me head back to you. Yeah, well, maybe related to that topic, but more generally as well. Obviously, you talked about changes in the markets, execution, et cetera. Everything's gone electronic. Also though, we've had changes in the market microstructure. New players, pod shops, new products, more retail participation, zero DTE options, all of this, which has shaped the market somewhat. And obviously I imagine creates new opportunities and maybe changes the return profile of some strategies.

SPEAKER_03: How do you think about that? Or is that a specific thing you look at and try and think about? Or is that just kind of reflected in the price action, which you primarily analyze? Well, we tend to, I mean, historically, the microstructure of markets we look at through the prism of execution and cost and friction matters. And the faster you trade, the more that matters. have never been in the super high frequency business. So we've operated our businesses as fast as for alpha purposes, hours, days, weeks, and most of our businesses are really in much longer frequencies. So we look at the microstructure to understand the cost of executing our business at large. And we think of ourselves as being able to execute efficiently and competitively, but we're not trying to beat the XTXs of the world and the Citadel securities of the world. So we're on the other side of that line. Are we taking a hard look at how order books function? Yes, because that definitely has a big impact on prices that you're going to pay to execute your book. And friction is everything in our business. And there's two ways of dealing with it. Trade longer frequencies or understand the

microstructure better if you're executing very fast for alpha-curvices. Interesting. I mean, you say that in relation to...

SPEAKER_04: Not being very fast. And obviously Niels is talking about some of the papers that you guys have written. And we talked about on the podcast, the paper that Jean-Philippe wrote with colleagues around fast trend following and how the valid just a tick size seemed to be an explanatory factor in the efficacy of fast trend following, which again is another, I suppose, market microstructure change. But I mean, is that Your decision not to get involved at the very fast end of markets, is that just reflecting it requires more cost, more technology, more access, et cetera, or is it more of a philosophical thing? I'll go back to something I said. One of the keys to our success or other of my peers' success is to have a strategy that's aligned with your culture. And our culture is not

SPEAKER_03: an engineering culture to make money. We have engineering solutions to deploy models that have been analytically built to make money in markets, which is a very different mindset, right? If you're extracting alpha using engineered solutions, that's a very different thing than extracting alpha with an analytical that was built from an analytical insight as to how prices evolve at a particular market. An engineered solution is about proximity, it's about speed, it's about levels of compute that you can deploy. Those are engineers that are thinking about how to... Get the best out of the market structure itself We think about the market structure, but we think about it in terms of What does it cost us to trade to clear the market structure and we want to be efficient at it? We don't want to extract alpha a process. We'd like to but it's not it's not who we are today, right? Yeah

SPEAKER_04: And on the risk management side, I mean, you've touched on how you have this team that meets every couple of weeks. So it sounds like maybe you've learned from past crises. I imagine a firm that's been in existence 35 years has that history. And obviously you do all of the data analysis, look at the past, but as you've said yourself, in markets literally anything can happen and whatever. Whatever you said, if whatever you don't want to happen will probably happen. You can diversify, but I mean, you think you need to have that capacity to override systems, to make

discretionary interjections. Do you think it's all about taking slightly less risk than the model suggests you should? Or what is the solution to managing those major tail events? Well, there's many levels to that. There's the major major, and we talked to...

SPEAKER_03: about one of them, which was the pont crisis, but then you have idiosyncratic events. You know, how much risk do you want to have an exposure to the Brazilian election as an idiosyncratic risk? Do you want full risk or you want to have half risk or quarter risk? The same could be true for a Japanese election or US election, anything that could polarize the markets in a very digitalized fashion. So we make decisions that range from the mundane like this to, ah, Do we need to reduce risk across our entire statistical arbitrage book in the case of the punk crunch? And it runs the gamut. But the idea is to try and do this as infrequently as possible. We are never thinking in terms of, oh, well, maybe we should have more risk to this because other circumstances seem, you know. favorable to what we're doing. So we want to run at as fixed a risk regime as we can, and we will at times purchase insurance, whether it's idiosyncratically for a given circumstance in a given market, or overall in the portfolio if we think something large enough is perhaps occurring that will have consequential effects on the entire portfolio.

SPEAKER_00: So you could actually go out and buy options or some explicit insurance, yeah? No, when I say we're buying insurance, if we reduce risk... Okay, so by risk reduction. By risk reduction, we're buying insurance. This may sound like a naive question here, Philippe, but is this something that you can somehow quantify your concerns for certain events and thereby... take it into account in the way you test things historically? Because otherwise it may be difficult to rely on a backtest if it doesn't have any insight to all the manual things that happens along the way, if you know what I mean. Not sure I know what you mean, but in any case, we do have a vast database of all the things that have happened and we test against them. And we test against five sigma events, you know, across the portfolio all the time. Not sure that was your actual question. No, I mean, I think that's fine. I mean, that's fine. It's just that you often hear people say that, well, you know, if you start making discretionary decisions in your trend following strategy, you can't use your back test for anything because it doesn't know

about all your decisions that wasn't part of the rules. That's what I was thinking of. Maybe it's too limited to kind of a trend following system. But I get what you mean in terms of stress testing and so on and so forth. That is, of course, something we all

SPEAKER_03: Right, but let me push it into another dimension. Whether it's relevant statistically or not that your counterparty is going to fail on you, it doesn't matter. You want to get that wrist down. You want to move it somewhere else. So in some circumstances, it's irrelevant whether you've... Whether you contest for it or not, in that sense.

SPEAKER_00: Yeah, no, no, that's true. Well, one thing just staying on trend for a little while longer, something I picked up on when you and I talked briefly last week, which I thought was very interesting. I mean, your trend program along with all your other programs have done really, really well. So congratulations on that. When you kind of briefly explained it to me, I was kind of thinking, hmm, sounds like you've evolved trend following quite a bit, actually. And maybe even to, from my recollection with our conversation with Philipp Seeker a few years ago, would you say, would you classify you doing trend differently maybe to the traditional trend follower? Well, we're not doing 1991 trend, that's for sure. Correct. We're doing, you know, the...

SPEAKER_03: the advanced version 35 years later that's informed by the fact that we also run very large statistical arbitrage books that have very sophisticated PCA techniques that are void and other strategies. So it's trend informed by other strategies, but it's definitely trend, but it's kind of neat. its trend on trend itself, and then all the derivatives thereof. All of the principal components that are not fully explained by the first component. One thing with the success you've had comes new clients, comes new assets, and we have obviously seen, I know most of your assets are

SPEAKER_00: in strategies defined as multi-strategy. And of course, in the last few years, multi-strategy has really been the buzzword, and a lot of money has been raised. I noticed recently in the last week or so that, was it Millennium, that had like a 30 billion subscription demand, but they could only offer 20 billion, etc. These are huge amounts. How do you think about capacity in all of this? And would you even consider I know you mentioned

earlier that you have a collaborative approach and it's not a trading people or teams or whatever. But would you even at some point consider saying, well, maybe we need to find people outside CFM to take on some of the responsibility of trading all the assets that clearly is coming our way or your way, I should say. How do you think about all these things? It's a positive problem to have, of course.

SPEAKER_03: Yeah, it's a caveat problem. But nonetheless, I'm going to go back to a statement I've made many times because I believe in it, which is your strategy has to be in line with your culture. At this stage, this is not in line with our culture. And we also have plenty to do with the capacity that we have in trend. the capacity that we have in cumulus, which is the second derivative of stratus, the excess capacity of stratus. We have plenty of capacity in our systematic global macro business. So we're going to focus on executing that capacity. And perhaps once this is executed, we can ask ourselves questions about what's next and within the realm of our culture or within five degrees of it.

SPEAKER_00: that we can develop. But we're not at that inflection point. The other thing I was thinking of is you go out and you talk to some of the largest, most sophisticated investors in the world. And I was curious about what you kind of need to understand about their portfolio, about what they do in order for you to figure out how you can best help them. What are the things that

SPEAKER_03: you look for in the conversations that you have with these type of investors? Diversification and alignment of purpose. So diversification is always first and foremost. I mean, do we bring true diversification to their existing portfolio or not? In most cases, yes, because there's not many things that our multi-strap businesses are correlated to. And then alignment. Alignment means, is there an aligned understanding of what we do and what we can provide and what we can't do? And what I mean by that, there's a specific tranche of time post what people call the QFC in Australia, which is the 2008 crash, and call it 2015, where people have been marketed CTAs as crash insurance. they came to believe that trend following could perform this sort of crash hedge. And it can, but it's frequency dependent, meaning the frequency has to match the frequency of

the actual crash for that to happen. And it's unlikely over time that you're going to be able to do that at a cost-efficient price point. Because if you're running strategies, at that frequency, usually you're not making any money unless one of these tail events happen. So that's what I mean by alignment, that there's a good understanding of what can realistically be expected of what we do and is that valuable to the investor or not. Yeah. Alan, I'll let you...

SPEAKER_04: pose another question if you want and then I'll let actually Philippe bring up anything that we haven't touched on that we should have touched on. But Alan, is there anything towards the end that you would love to ask Philippe? I mean, just in terms of the direction of CFM from here, obviously what you see with a lot of other firms is it becoming more of a solutions provider, a platform? Is that the direction for you as well in terms of allowing clients

SPEAKER_03: to pick strategies to build custom portfolios or not? What's the next evolution for your firm? Well, I think, you know, there's a measure of that. We now have Stratus, the flagship, Cumulus, which is the excess capacity of Stratus. We have systematic global macro, Discus, which is multi-strat futures, trend following, and trend following beta capped. And if you want to pick between these building blocks, perfectly happy to do that. So we do have bricks and people can put those bricks together in various ways. But I wouldn't call us a solutions provider in the sense that we're going to tailor that to the millimeter and carve out models for people. But within the constraints of those bricks, yes, we will do things that people find useful.

SPEAKER_00: Yeah, I said before, Philippe, that there are quite a few things we could have brought up today. We've kind of tried to stay true to some of the topics we know from your team that they like, but also the things we found interesting. But I'm going to give you the last word anyways to bring up anything that you think is important that we didn't touch on today. So, anything you want to highlight as we close?

SPEAKER_03: Well, since trend was so prominent in this conversation, and it's prominent in your business, there's a period not so long ago, I'll call it 10 years ago, where people were running around saying trend is dead.

And we found out that it is, and the reality of trend is that it is a 0.5 sharp strategy. And 0.5 sharps over a distribution of decades and centuries is going to have decades that look like 0.1 sharp or 0.2 sharp. That's absolutely possible. And the flip side of that, it will have decades where the sharp is 1.2. And people will think that train is a 1.2 sharp strategy in those decades. It is not a 1.2. It's more 0.4, 0.5 strategy, but it does play a role in investor portfolios that is valuable. It does diversify, but it's not going to pay for your crash. That's not what it does. Yeah. I appreciate that. And of course you, CFM authored a paper, I think it was two centuries. There's been a few different number of centuries papers out there. I think yours was the two century.

SPEAKER_00: trend following evidence, which was another great paper. So I appreciate you reminding people that when it's the bleakest time for trend, it's not the end of a trend, but when it's the best time for trend, it's probably not going to last forever either. So always a good reminder. Philippe, this was really wonderful. Thank you so much for joining Alan and me today and for being so open about what you think about the topics that we wanted to... to discuss. This has truly been an enlightening conversation. I'm sure our audience have learned a lot from you. And to everyone listening, thank you so much for spending time with us today. We very much look forward to being back with more conversations with some of the greatest minds and smartest people in finance. And until next time, as usual, take care of yourself and take care of each other. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode,

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